

A steady reduction in fees is becoming the new norm for the investment management industry. Lower fees are a good thing for investors, less so for investment managers. Yet, the achievement of low fees, per se, is not a panacea for the investor; the appropriate level of manager compensation depends on the situation. For instance, international markets are inherently more expensive to trade than domestic markets due to the high costs of maintaining overseas brokerage and custody operations. Another example might be a highly active strategy with high expected performance that is not available elsewhere in the marketplace and that cannot be replicated at a lower cost. Nonetheless, leaving such nuances aside, here are some basic questions one must ponder when thinking about fees.

What Are the Effective All-in Fees?

Here are some questions you might want to ask. Who pays for service providers? What about compensation using so-called soft dollars, or the manager's ability to push operating costs onto the investors? Does the strategy push the client into a higher-price commission regime so the manager can benefit? How about other trading and execution costs? Is order flow being sold to a third party? Are there any 12b-1 fees? What about fund administration, fund accounting, or board fees for mutual funds? Are there any out-of-pocket reimbursements? How is performance calculated when an investor withdraws, in whole or in part? Are there withdrawal penalties? Any discretionary mark-to-market accounting or suspect third-party valuations? Beware of the fine print! Remember that fees compound over time, so scrutinize them carefully.

Do Fees Align Investor and Manager Incentives?

Charging a performance fee can make sense, but is there a clawback provision if the manager loses all your money after a great year? What is the hurdle? For example, a 0 percent hurdle for a product with generic market exposure doesn't make sense, because an investor can buy market exposure for next to nothing! Why should you pay more simply because the market happened to go up? Is there a high-water mark provision? Do managers “eat their own cooking,” and invest in their own funds, which can align incentives and address conflicts of interest? If a manager doesn't own